Q16

The directors should focus on the systematic risk because that is what will determine the impact on the shareholders' wealth. [1]

The required rate of return on the project will be determined using the project's beta coefficient. If the project has a positive net present value at that rate then the shareholders' wealth will increase. [1]

The project's beta will impact the company's beta, which will also impact the risk arising from the shareholders' diversified portfolios. [1]

The specific risk of a project is not particularly relevant to the shareholders because they can diversify that away. [1]

The shareholders would be unwilling to have the project evaluated on the basis of specific risk because that value is only relevant to stakeholders who cannot diversify, such as directors and employees who face the risk of losing their jobs if the specific risks push the company out of business. [1]

[Maximum 5]

[Total 5]

Commentary:
Candidates always find questions on this area of the syllabus difficult and this was no exception. Candidates were a little confused about the difference between systematic and specific risk. Very few candidates discussed beta.